



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/11

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question **there** are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your **choice** in soft pencil on the multiple choice answer sheet.
- Follow the **instructions** on the multiple choice answer sheet.
- Write in soft pencil.
- Write your **name**, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You **may** use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

* 7 8 4 2 9 5 9 0 6 7 *



Solved by :-

Zorak Mushtaq

1 Which statement about the factors of production is correct?

- A Capital is a financial resource and includes savings in banks. *Mam-made*
- B Enterprise is limited in supply and includes office workers. *Owners*
- C Labour is a human resource and includes pensioners and children. *No children*
- ✓ D Land is a natural resource and includes trees and fish. *Yes, Natural resource*

2 A builder spends one hour travelling to and from work. He works 40 hours per week for \$200. He is given a choice to work 50 hours a week for an extra \$75.

What would be the opportunity cost to the builder of working the extra hours?

- A the ability to increase his purchasing power
- B the additional time travelling to and from work
- C the increased hourly earnings of \$7.50
- ✓ D the ten hours of leisure time

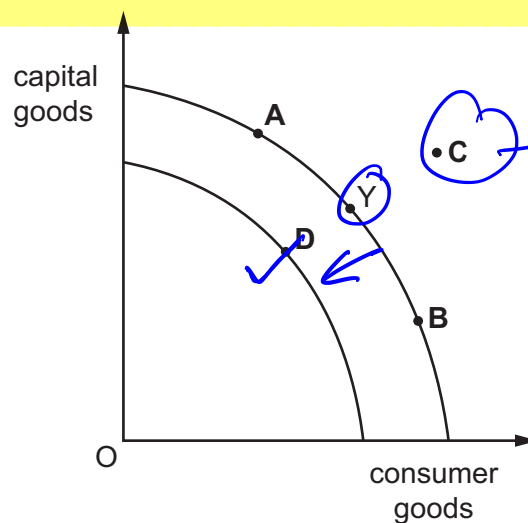
→ leisure that will be forgone.

Shift inward

3 A country's infrastructure was damaged by a natural disaster. Before the disaster, the country was producing at point Y on the production possibility curve (PPC).

Which point represents the country's production immediately after the disaster?

Ans:- D



• C → unattainable
movement shown in option A and B,
concept of opportunity cost.

4 What is included in microeconomics?

- A the calculation of national income and expenditure *Macro*
- B the effects of a change in exchange rates on the trade balance of an economy *Macro*
- ✓ C the effects of an increase in the price of a good or service *(price factor)*
- D the factors leading to demand-pull inflation *Macro*

↳ Law of demand

3 Equilibrium
(D=S)

- 5 What is an economist's definition of a market?
- A a collection of informal retail outlets run by small firms (S)
 - B a place where traders gather regularly for short periods can be barter
 - ✓ C a system that enables individuals and firms to buy and sell goods (Buy and sell)
 - D the existence of consumer demand for a good (D)

Benefit to third party

- 6 What is an example of an external benefit from an individual cycling, rather than driving, to work?
- A higher cost of building cycle lanes PC
 - B improved physical fitness to the individual from cycling PB
 - C lower cost of cycling compared with driving to work PC
 - ✓ D reduced congestion for other road users EB

- 7 A tailor has four customers for her range of suits. The table shows the yearly demand for the suits she makes.

demand for suits				
suit price (\$)	customer R	customer S	customer T	customer U
800	4 3200	+ 1 800	+ 2 1600	+ 2 1600 = 7200
900	4 3600	0	1 900	2 1800 = 6300
1000	3 3000	0	1 1000	1 1000 = 5000
1100	2 2200	0	0	1 1100 = 3300

Which price should be charged to maximise the tailor's yearly revenue?

- ✓ A \$800
- B \$900
- C \$1000
- D \$1100

- 8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

- A 0.8
- B 0.9
- C 1.2
- ✓ D 1.25

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- 9 It is expected that consumers will use less paper money.

What is the **most** likely reason for this?

- A Inflation reduces the value of paper money.
 ✓ B More ways of making payments will be available. (contact less payments)
 C Other forms of money are more durable.
 D Paper money will have less intrinsic value.

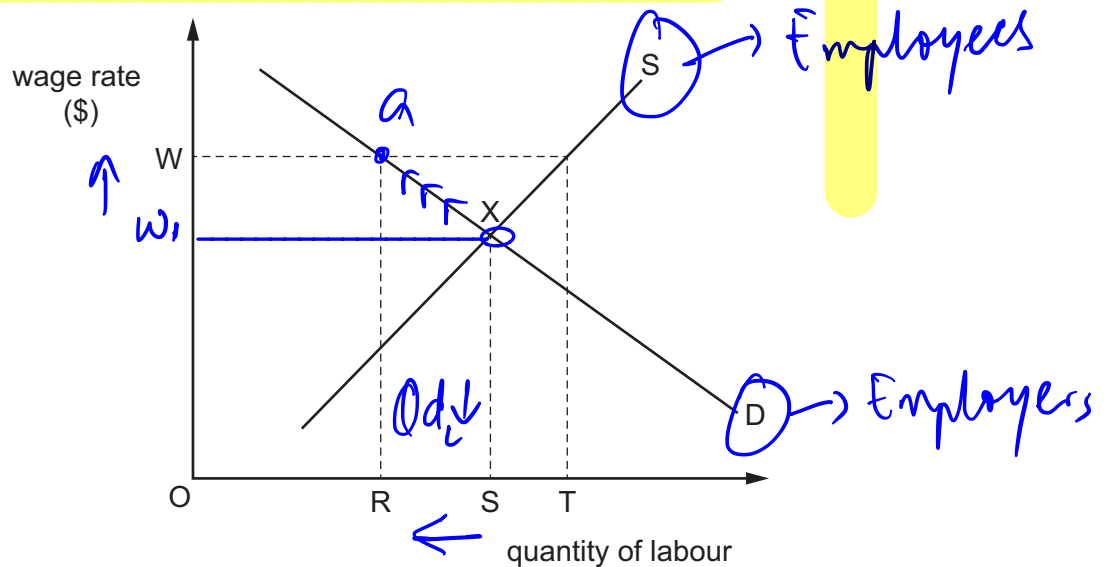
- 10 In low-income countries, fewer girls than boys become skilled design engineers.

What might explain this situation?

- A Girls are only interested in low-wage jobs. ^{no}
 B Girls do not favour heavy manual work. ^{no link to design engineers}
 ✓ C Girls have fewer opportunities to complete higher education. ^{Best e.g. Pakistan}
 D It costs more for girls to be trained as design engineers. _{no}

- 11 The diagram shows the demand for and supply of labour in an industry. The original equilibrium is X.

A trade union then negotiates a wage rate of W.



What identifies the change in employment?

- A OR Total Demand
 B OT Total Supply
 ✓ C RS Surplus of labours
 D RT

- 12 A company mining cobalt, invests in machinery to replace some workers. Eventually diseconomies of scale occur.

What could cause this situation?

- ☒ A As more cobalt is mined average costs increase.
☐ B Fewer workers are needed to produce the required output. *productivity ↑*
☐ C Output per hour increases as more machinery is used. *productivity ↑*
☐ D Overhead costs are spread as output increases. *cost spreads, AC ↓ (EOS)*
- 13 Why are many hairdressers able to operate as small businesses?
- ☐ A high level of competition *feature of small businesses*
☐ B high scope for economies of scale *(large firm)*
☐ C long period of training required *→ less hairdressers hote*
☒ D low start-up and running costs *Easy to setup*
- 14 Dimitry owns a firm that produces and sells bottles of lemonade. He only sells one size of bottle.

How would Dimitry calculate the total revenue of the firm?

- ☐ A multiply the quantity sold by the cost per bottle *Cost*
☒ B multiply the quantity sold by the price per bottle *$P \times Q = TR$*
☐ C multiply the quantity sold by the profit per bottle *Profit*
☐ D multiply the quantity sold by the tax per bottle *Tax*

- 15 Which market is likely to be the most competitive?

	barriers to entry ↓	number of sellers ↑
A	high	few
B	high	many ✓
C	low ✓	few
☒ D	low ✓	many ✓

- 16 An economy has a high rate of inflation. In response to this, its government increases income tax.

What is the most likely reason for this increase?

- A to discourage the consumption of harmful goods *Indirect tax required*
 B to raise money for government spending *G↑, AD↑*
 C to redistribute income *Progressive and regressive tax.*
 ✓ D to reduce total demand *Tax↑, P·Y↓, C↓, AD↓*

- 17 Interest rates are sometimes raised to control inflation.

Why might this policy be effective?

- ✓ A Consumers may save more. *R↑, save↑, spend↓, C↓, AD↓, P↓*
 B Government spending may increase. *G↑, AD↑*
 C Investment may be encouraged. *I↑, AD↑*
 D The exchange rate may fall. *Depreciation, trade surplus, AD↑*
 $3.69 > 3.25 = -ve$

- 18 A government's revenue grew 8% to \$3.25 trillion. Its expenditure was reduced to \$3.69 trillion.

What can be concluded from this?

	state of budget	government policy aim
A	deficit ✓	increase deficit
✓ B	deficit ✓	reduce deficit ✓
C	surplus	increase surplus
D	surplus	reduce surplus

Govt expenditure is still greater than Tax revenue but deficit reduced because of rise in revenue and fall in spending.

- 19 A country's inflation rate, measured by the Consumer Prices Index (CPI), was 3% in year 1. Three years later it was 0.8%.

What can be concluded from this information?

- A Prices are falling. *Rising*
 ✓ B The rate of price increases is falling. *Rate of inflation↓, prices are still increasing*
 C The real rate of interest is negative.
 D There is increased purchasing power for those on fixed incomes.

No info

fall, prices↑

Because it's negative inflation

20 What will deflation most likely lead to?

- A a fall in the real value of debts *Rise*
 B an increase in the exchange rate *fall*
 C an increase in the rate of interest *fall*
 D an increase in the real purchasing power of money

21 Economic growth can be defined as

- A a reduction in a country's rate of inflation.
 B an increase in a country's exports.
 C an increase in a country's population.
 D an increase in a country's productive capacity.

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22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

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23 In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

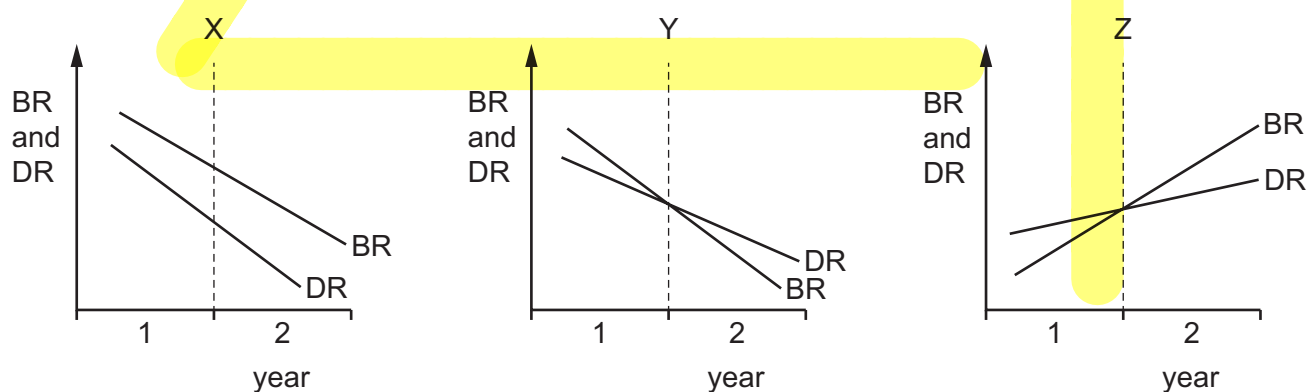
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

24 The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

A X and Z

B X only

C Y and Z

D Y only

- ✓ 25 The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
✓ C	remained constant	increased
D	remained constant	remained constant

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- ✓ 26 Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of

- A exports and inflation.
B imports and exports.
✓ C population change and exports.
✓ D population change and inflation.

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workers will
be occupationally
immobile due to
specialization

- ✓ 27 What is a disadvantage of increasing international specialisation?

- A Consumers pay ^{lower} higher prices for goods and services reducing their welfare.
✓ B Domestic firms may be uncompetitive leading to structural unemployment.
C Domestic firms may experience rising costs as they pay more for imports.
D Resources may be used less efficiently as domestic firms face less ^{more} competition.

Might not be able to compete ^{more}

- ✓ 28 Which method of protection always reduces the supply of an imported good to zero?

- ✓ A embargo (It's a Ban)
B quota → limit on the quantity of goods imported
C subsidy → Encourage or make exporting industry competitive
D tariff
↳ Tax on imported good.

- ✓ 29 A US car dealer agrees an import price of US\$25 000 for a Japanese car at the current rate of exchange.

Appreciates

The US dollar then strengthens by 10% against the Japanese yen.

What will be the new import price paid for the Japanese car?

- A US\$20 000 ✓ B US\$22 500 C US\$25 000 D US\$27 500

$$25000 \times 10\% = 2500$$

$$25000 - 2500 = 22500$$

✓ 30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A increased exports of its services
- B increased international competitiveness of its goods
- C increased numbers of visitors from abroad
- ✓ D increased spending on its military bases abroad

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